



Qualification Programme Examination Panelist's Report

Module 10 – Business and Company Law (June 2023 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance during the examination.)

(I) Written Questions

General Comments

The paper was three hours in duration and consisted of six questions. The marks allocation among the nine major topics of this examination paper was as follows:

1.	Company Law	30%
2.	Law for Public Companies	10%
3.	The Hong Kong Legal System and Regulatory Authorities	5%
4.	Law of Tort and Negligence	10%
5.	Law of Contract	15%
6.	Law of Consumer Protection	5%
7.	Law of Employment	10%
8.	Law of Prevention of Bribery & Corruption and Anti-Money Laundering	5%
9.	Law of Agency	10%

This paper was set on the syllabus prescribed by HKICPA, which covers the important topics on business and company law.

Candidates performed well on questions covering common topics. This can be seen in Question 1, which was about employment and anti-corruption laws, and Question 4(a), which was about negligence. Candidates also did well on straightforward questions such as Question 5(a), which was about the important clauses to be included in a joint venture agreement.

Some questions required candidates to demonstrate their analytical skills and apply legal principles to case scenario with reference to case laws and/ or legislation. Stronger candidates were able to demonstrate the analytical skills required for these questions, while weaker candidates failed to perform well on these questions. More detail can be found in the specific comments below for Questions 3(a)(ii) and 3(a)(iii) as well as Questions 6(a) and (b).



Specific Comments

Question 1(a) – 5 Marks

This question required candidates to discuss employees' breach of fiduciary duties owed to their employers and the legal relationship therein. In general, candidates' performance was fair. Although the question clearly stated that answers should be limited to "in relation to employment", some candidates mistakenly wrote answers related to separate legal entity and lifting of the corporate veil. Stronger candidates were able to keep their answers relevant to the specific question posed and were also able to support their answers by quoting relevant case laws.

Question 1(b) – 5 Marks

This question required candidates to discuss a bribery offence committed by an agent due to accepting the secret commission from a third party. In general, candidates did well on this question.

Question 1(c) – 5 Marks

This question required candidates to discuss breach of employment contract and summary dismissal. In general, most candidates performed well on this question.

Question 2(a) – 10 Marks

This question required candidates to discuss misrepresentation under common law and the Misrepresentation Ordinance. In general, candidates' performance was satisfactory. Some candidates, however, failed to identify the legal issues correctly and discussed negligent misstatement and misrepresentation by silence instead.

Question 2(b) – 5 Marks

This question required candidates to discuss the remedies available to the representee of misrepresentation. In general, candidates performed well on this question.

Question 2(c) – 5 Marks

This question required candidates to analyse the jurisdiction of the law courts and tribunal for a civil action. In general, most candidates did well on this question.

Question 3(a)(i) – 3 Marks

This question required candidates to discuss the different types of an agent's authority in the law of agency. In general, most candidates did well on this question.



Question 3(a)(ii) – 4 Marks

This question required candidates to discuss whether the agent had authority to order goods for her principal after her resignation. Although many candidates failed to discuss whether the agent had authority before her resignation, some candidates correctly pointed out that the agent still had apparent authority after her resignation.

Question 3(a)(iii) – 3 Marks

This question required candidates to discuss whether the principal is bound by the agent's wrongful act when she acts with actual or apparent authority. In general, candidates' performance was satisfactory, although some candidates misidentified the legal issue and discussed irrelevant topics, such as disclosed and undisclosed agency.

Question 3(b) – 5 Marks

This question required candidates to analyse the grounds for compulsory winding-up of a company by the court. Most candidates were able to explain the grounds of compulsory winding-up of a company, but some candidates failed to discuss the situations under which a company is deemed to be unable to pay its debts.

Question 4(a) – 10 Marks

This question required candidates to discuss the four essential elements of the tort of negligence. Candidates' performance on this question was very satisfactory.

Question 4(b) – 5 Marks

This question required candidates to discuss the implied terms of the Sale of Goods Ordinance. It appears that some candidates are not quite familiar with the implied terms of the Sale of Goods Ordinance and they did not perform well on this question.

Question 5(a) – 10 Marks

This question required candidates to discuss the important clauses to be included in the joint venture agreement. In general, candidates' performance was satisfactory.

Question 5(b)(i) – 4 Marks

This question required candidates to discuss the obligation of a director or substantial shareholder to disclose to the Hong Kong Stock Exchange and the listed company concerned his/ her interest in the shares of that listed company. In general, candidates' performance was quite good.



Question 5(b)(ii) – 6 Marks

This question required candidates to discuss the circumstances under which a director or substantial shareholder has to disclose to the Hong Kong Stock Exchange and the listed company concerned his/ her interest in the shares of that listed company. In general, candidates' performance was average. Some candidates mistakenly discussed the shareholders' control over the listed company.

Question 6(a) – 5 Marks

This question required candidates to discuss the principles of separate legal entity and limited liability of the members/ shareholders of the company. Overall, candidates did not demonstrate well as expected. Many candidates failed to quote relevant legislation and case laws when discussing the principles of separate legal entity.

Question 6(b) – 10 Marks

This question required candidates to discuss whether corporate veil should be lifted/ pierced. In general, candidates' performance was substandard. Many candidates failed to identify the legal issue of whether the corporate veil should be lifted and were unable to apply the relevant legal principles and case laws when discussing the circumstances under which the corporate veil could be lifted.

(III) Conclusion and Recommendation

Overall, candidates performed well on common topics such as laws of employment, anti-corruption as well as negligence. However, it appears that candidates might not have sufficiently covered the syllabus in depth and they could not perform well when discussing less common topics such as misrepresentation. This paper attempts to cover all topics to test the candidates' ability to apply their legal knowledge in specific situations. As a result, candidates are advised to study all important business and company law topics.

Some candidates showed difficulty in identifying the key issues of the question. As a result, many candidates chose to write what they knew about the topic and failed to identify and discuss the specific issues of the question. Candidates are reminded to apply the relevant legal principles to resolve the issues in the questions in order to score higher marks.

Most candidates were able to complete all the questions of the paper within the prescribed time whereas some candidates did not answer all parts of the questions. Candidates are reminded to make a reasonable attempt to answer all the questions.

As most of the topics in the syllabus, such as contract law and company law, are governed by case law as well as legislation, candidates are advised to study and apply both case laws and legislation in answering questions.